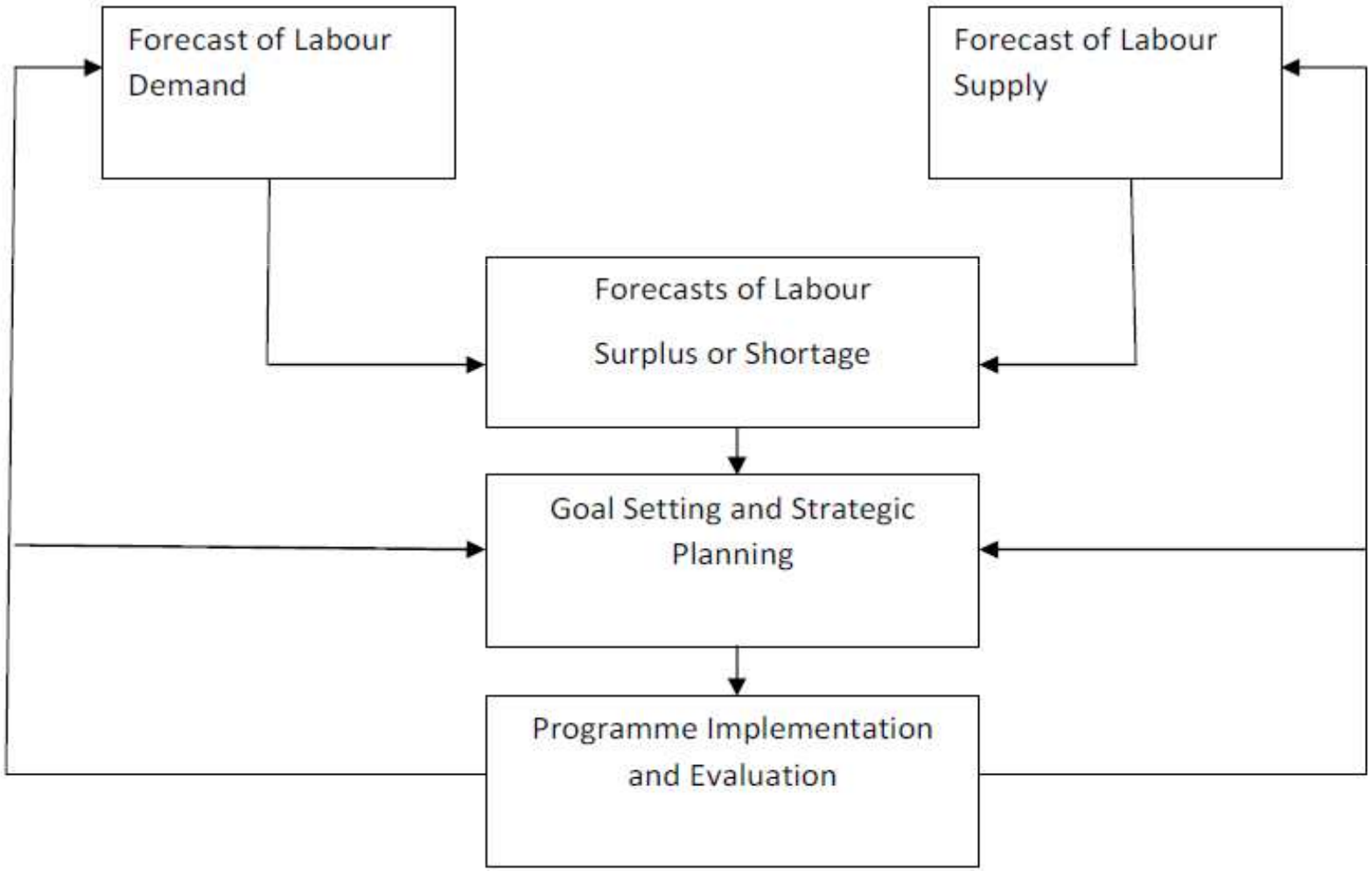
Human Resource Planning

Human Resource Planning

- Enables organizations to anticipate their future HRM needs and to identify practices that will help them to meet those needs
- The focus is not just on the number of employees but on the required skills and behaviours needed in the organization
- Consists of forecasting, goal setting and strategic planning, and implementation

Human Resource Planning



Forecasting

- The process of making predictions of the future based on past and present data and the analysis of trends
- In HR planning we must forecast the demand for labour and the supply of labour
- The difference between labour demand and supply is called the 'gap'
- HR goal setting and strategies focus on closing the 'gap'

Demand Forecasting

- Involves predicting the quantity and skill sets of employees the organization will need at some future point in time
- Two general approaches
  - Statistical: using a business factor (e.g., sales) to determine the number of employees needed
  - Judgmental: requires educated guesses from management/experts based on current trends and future predictions

Demand Forecasting

- Tools used in statistical analysis:
  - Trend analysis: the practice of using historical information to look for useful patterns used as a guide to predict future recurrences
  - Ratio Analysis: looks at the quantitative relationship between two variables, one is the causal factor (e.g., sales) and the other variable (e.g., number of employees) being influenced by the causal factor

Demand Forecasting

- The scatter plot: shows graphically, the numerical relationship between two variables. If a relationship does exist, you can then forecast a business factor (e.g., sales) then estimate your employee needs

Supply Forecasting

- Is the process of determining the availability of labour required to implement the strategy of the company
- It also requires an analysis of near-future changes caused by retirement, promotion, transfers, and voluntary turnover
- It looks at internal skills inventory to fill vacancies
- External data of skills available in the market, including the unemployment rate, is also used

Forecasting – the Gap

- The difference between the demand and supply is called the gap
- The gap can either be a shortage, no enough labour; or a surplus, too much labour
- Closing the gap is the focus of the HR strategy formulation and goal setting

Goal Setting and Strategic Planning

- As mentioned before goals should be specific, measurable, attainable, relevant, and time-specific (SMART)
- Strategy formulation is based on the type of gap revealed in forecasting
- The type of gap can either be a shortage or a surplus

Strategies for Closing the Gap

- If the gap is a surplus, the following strategies can be used:
  - Downsizing
  - Pay reductions
  - Demotions
  - Transfers
  - Work-sharing
  - Hiring Freeze
  - Natural attrition
  - Early retirement
  - Retraining

Strategies for Closing the Gap

- If the gap is a shortage, the following strategies can be used:
  - Overtime
  - Temporary employees
  - Retrained transfers
  - Turnover reductions
  - External hiring
  - Technological innovation

Implementation and Evaluation

- To implement the strategy the appropriate resources must be provided
- Responsibilities must be assign and individuals must be held accountable in achieving the goals and objectives
- After implementation an evaluation should be made on the success of closing the gap